THE IMPORT BASKET

A look at the key products India is importing from China (Apr.-Aug. 2024)

PRODUCT	VALUE ($MN)
Computer hardware, peripherals	3,953 (49%)
Telecom instruments	3,618 (47%)
Industrial machinery for dairy etc.	3,124 (43%)
Bulk drugs, drug intermediates	1,436 (74%)
Accumulators and batteries	974 (65%)
AC, refrigeration machinery etc.	861 (46%)
Consumer electronics	835 (40%)
Iron and steel products	831 (41%)
Cranes, lifts and winches	780 (65%)
Manmade yarn, fabrics	663 (60%)
Plastic sheets, films etc.	649 (51%)
Glass and glassware	538 (61%)
Other construction machinery	464 (45%)

Share in India's total imports of the product in ( )
All figures rounded-off; Source: Ministry of Commerce and Industry

WHY THE SPURT

- **Chinese imports are rising due to a higher demand from Indian industry in a robust economy**
- **China has created overcapacities in various industries, needs exports to prop up its own economy**
- **Countries led by the US are imposing higher tariffs on China; it needs alternative markets like India**
- **China is exiting labour-intensive sectors, going for high-value products like automotive, which are then being pushed into different markets**

toys, electronics, chemicals, plastic raw materials et al. The aim is to not only improve the quality of domestic manufacturing but also to reduce imports. Then, in some sectors like telecom, infrastructure and power, India has also imposed restrictions on Chinese supplies in government procurement.

On the investments front, meanwhile, finance minister Nirmala Sitharaman has made it clear that India needs foreign investments but not without safeguards. "India is in a very sensitive neighbourhood. I cannot blindly welcome FDI without considering where it's coming from," she said while speaking at the Wharton School in the US, hours before the Modi-Jinping meeting. While she didn't directly name any country, Sitharaman stressed that such restrictions are vital for national security and pointed out that "sometimes the ultimate beneficiary matters to me—not who they are individually, but where they are from".

A TOUGH TASK AT HAND

But some experts believe that India just cannot wish China away when it comes to trade. "The easing of border tensions between India and China should be seen in the context of a realisation on the part of the Indian government that all the talk about decoupling from China is not feasible in the short run," says Biswajit Dhar, a former professor of economics at the Jawaharlal Nehru University, Delhi.

In fact, in the Economic Survey 2023-24, chief economic advisor V. Anantha Nageswaran stated that an increased FDI from China could help India's global supply chain participation and exports—which many see as a prelude to a big shift in India's stance on trade and investment relationship with its neighbour. "That was a bolt from the blue," notes Dhar. "Gradually, there have been developments that



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AJAY SAHAI
Director General & CEO, Federation of Indian Export Organisations

show that [bilateral] relations are improving.... It is the economic reality which is pushing the dynamics of the relationship between the two countries." Apart from traditional trade items, the focus seems to be on products like EVs, where India seems to have taken a very favourable view of Chinese imports.

All these add up to an escalation of imports from China. And an improvement in political ties will only lead to more imports. Dhar reasons that rather than being peeved by Chinese imports, the Centre needs to do a reality check on why its attempts to reduce the dependence on Chinese goods over the past four years have been counterproductive. After all, he says, India is one of the largest users of anti-dumping duties in the world, most of which have been imposed on Chinese imports. Given this ground reality, at least for the next few years, India will have to live with China's dominance in bilateral trade. ■